



“THE ALTERNATIVES SPACE CAN GROW 3X IN FIVE YEARS”

Vikaas M. Sachdeva, MD of Sundaram Alternates, talks about where India's alternative investment industry is headed

BY RAHUL OBEROI

68 | THE DEMAND FOR big-ticket investment options, such as portfolio management services (PMS) or alternative investment funds (AIFs), has grown with the rising number of high net-worth individuals (HNIs). In conversation with *Business Today*, 53-year-old Vikaas M. Sachdeva, Managing Director of Sundaram Alternates, talks about where the domestic alternative investment industry is headed. Edited excerpts:

▶▶▶ ***With India seeing a manifold rise in HNIs, how do you see the investment landscape for the PMS industry?***

As India's per capita GDP crossed the tipping point of \$2,000 in 2020,

discretionary spending has seen a major shift and is expected to increase manifold. Quite like what has happened in the rest of the world, as the number of wealthy individuals grow in India, there has been a change in how they invest. Investors are more inclined towards investing in unlisted equity, alternatives, and international assets. This is completely in line with the global alternative assets industry, which is set to reach \$24.5 trillion by CY2028 compared to \$16 trillion in CY2023.

▶▶▶ ***In the realm of alternative investments, which asset classes can gain prominence over the next three to five years?*** Significant momentum

has been seen over the past seven years with PMS growing at 20% CAGR, [and] category (CAT) II and CAT III AIFs seeing a CAGR of 55% and 44%, respectively. The Indian alternatives industry overall is expected to grow over 3x in the next five years.

▶▶▶ ***The last few years have seen a lot of important regulatory changes in the PMS arena. Going ahead, what are the key areas where some amount of regulatory review is required?***

Sebi (the Securities and Exchange Board of India) has been working closely with the industry and has regularly come up with white papers asking for views of industry

participants on a variety of issues. Recently, the regulator released a list of mandated benchmarks for both the PMS and AIF segments. That has largely helped [improve] the information flow to the investor.

▶▶▶ ***Can you highlight investment avenues that can be explored globally and in the Indian context?***

Globally, the search for alpha has led savvy investors to move from active management to passive, and then to private equity and private credit. A similar situation is now playing out in India as well.

Access to global products through financial centres like GIFT City has been another arrow in the quiver used by family offices and HNIs. With the enabling of listing of PE-funded companies in GIFT City, it is expected to attract a host of companies which would have otherwise gone in for a listing on NASDAQ.

▶▶▶ ***What's your take on the private credit space?***

Private credit has seen a massive influx of funds lately; over the past seven years, commitments raised by CAT II funds have grown to a whopping ₹8.8 lakh crore. [With] the alternatives industry expected to grow three times over the next five years, private